

Open loop cards can be redeemed at numerous locations and by many different vendors. One type of open loop card is the prepaid general spending card (e.g., a Stored Value Card), which is loaded with funds and branded with a payment network logo, such as Visa or MasterCard. Funds may be added to the card as needed, and the card can be used wherever the payment network brand is accepted.

### **C. Limited Transaction Services Offered by Mainstream Banks to the Unbanked**

The FDIC Household Survey supports the conclusion that money transaction products, such as money orders, are an essential need of the unbanked.<sup>10</sup> The banks, however, have been slow to meet this need. The FDIC Bank Survey found that, besides limited check cashing services, banks offer very few products to non-customers, and when they do, they charge them much higher fees than those charged bank customers.

Only 37 percent of banks surveyed offer bank checks and money orders to non-customers, and only 6 percent of banks surveyed offer international remittance services to non-customers.<sup>11</sup> The FDIC Banks Survey concluded that: "Products that are least often offered to non-customers are those that allow funds to be transferred

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<sup>10</sup> While the unbanked and underbanked need AFS credit products as well as transaction products, credit products are not within the scope of this Study. Although urgently needed by the unbanked, the Postal Service does not now offer credit products, and they raise different risks and legal issues than transaction products.

<sup>11</sup> Since the survey, some banks have begun to perceive a revenue opportunity in international remittances. The section on International Remittances, *infra*, provides further details about this recent development.